PIAGGIO SEPARATION POLICY

HUMAN RESOURCES

PIAGGIO VEHICLES PRIVATE LIMITED INDIA

Separation Policy

Version History

Version No.	Effective Date	Scope	Approved By	
1.0	August 15, 2020	All management employees	Chief Human Resource Officer	Chairman & Managing Director
1.1	January 22, 2024	All management employees	Chief Human Resource Officer	Chairman & Managing Director
1.2	October 01, 2025	All management employees	Chief Human Resource Officer	Chairman & Managing Director

Date - October 01, 2025 Approved By -	Chief Human Resource Officer	Chairman & Managing Director

Separation Policy

OBJECTIVE

- This policy defines operational procedures in the event of employee separation from the company.
- Set up a procedure for ensuring comprehensive knowledge and asset transfer.
- Ensures compliance with all the provisions of the Piaggio Code of Business Conduct and Ethics during the notice period and post-relieving.
- Facilitate smooth separation of employees adhering to company policies, and rules.

APPLICABILITY

For management grade employees in the event of Voluntary/Involuntary Separation

NOTICE PERIOD

DURING PROBATION:

- **Employee in grade MG1 – MG4:** During probation period either party can terminate the employment by giving thirty (30) days prior written notice.
- **Employee in grade SMGR – AVP:** During probation period either party can terminate the employment by giving ninety (90) days prior written notice.

ON CONFIRMATION:

- **Employee in Grade MG1 – MG4:** Your employment may be terminated by either party by giving to the other, sixty (60) days' notice in advance in writing.
- **Employee in Grade SMGR – EVP:** Your employment may be terminated by either party by giving to the other, ninety (90) days' notice in advance in writing.

Notice Period (during Probation & On Confirmation) – A employment may be terminated by either party by giving a notice period as per the terms and conditions as defined in the separation policy, notice period clause and accepted at the time of appointment with the company.

Policy & Appointment Letter Anomaly - In case of a difference in the definition of Notice period between Policy & Appointment Letter the Notice Period (during Probation/Post Confirmation) whichever is higher between the Policy & Appointment letter will be held applicable for an employee.

PROCESS

- Employee who intends to tender his/her resignation to his/her Reporting Manager is required to use the APNA HR system (My Resignation) feature. Email, Verbal, SMS, WhatsApp etc based resignations are void.

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- A resignation once submitted is forwarded to the functional head and HR business partner for formal acceptance.
- Resignation submitted in non-working hours (i.e. from 6PM till 9 AM of next business day), on Week offs/ Company Holiday will be considered from next working day for notice period calculation.
- Employee must serve full notice period.
- The relieving date of the employee based on the notice period calculation shall be communicated by the HRBP through the system (APNA HR) after acceptance of the resignation.
- Upon resignation or separation from the company services, the employee must return all assets & and property of the company such as any documents, machines, data, files, books, identity card, health cards, laptop/computer, pen-drive, additional memory disk, sim card, printer, attendance punch card, CDs, confidential information, books, and any other company assets (including but not limited to leased properties) in their good state.
- All correspondence received and sent by an employee on behalf of the company (for its business) must hand over all such information, correspondences, company assets & and property to his reporting manager or anyone nominated by the functional head/company.
- The handover must happen honestly up to the sufficiency & and satisfaction of function and company. In case of wilful damage or negligence, the company holds the right to take legal action against the employee and recover the damages.
- Employee is also advised to return imprest amount/ petty cash & settle any other advances in his/ her custody before separation. In case, the employee does not declare or settle the imprest amount, the company can also recover the same post the employee separation and F&F.
- On APNA HR, a clearance form enlisting handover details, duly signed by the reporting manager and respective function head will be forwarded to HR for further action.
- Completion of full and final settlement will be subject to the employee religiously complying to all handing over formalities to the satisfaction of his/ her reporting authority, HRBP and the clearance from all concerned departments as given in the clearance form.

F&F Settlement, Leaves during NP & Other Aspects

- Full & Final settlement amount will be worked out and paid to the employee by cheque / NEFT subject to all the required and mandatory clearances.
- The separating employee will also be advised on the process of transfer of Superannuation.

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- During the notice period, all leaves taken by an employee will be subject to an additional layer of approval by the Functional Head.
- As CLs/SLs are granted for a whole year period, in a situation if the employee has exhausted the entire balance of CL/SL before getting relieved from PVPL, a pro-rata basis adjustment (for the remaining period of the year) for excess CLs/SLs will be made on basis of Basic Salary (Value of PL).

EXIT INTERVIEW

- In Voluntary cases of resignations, parting employee must duly fill the Exit Interview Form. Your inputs are useful and always taken in the best manner.
- Voluntarily separating employee should submit exit interview form to respective HR Business Partner

HOLD ON SALARY

- Employee's last month salary will be processed with the Full & Final Settlement and will not be processed with the regular pay cycle.

COMPLIANCE TO THE CODE OF CONDUCT & AND ETHICS

- Employee parting from Piaggio is expected to strictly comply with the provisions of Piaggio's code of business conduct & and ethics on all occasions on and off business premises. Any non – non-compliance to the same may attract appropriate disciplinary action (with likely award of termination) as enshrined in the code.
- The organization withholds the right to forfeit the payable amounts in case of any violation or non – compliance of the provisions of Piaggio's code of business conduct & ethics.
- No interest whatsoever shall be payable on the pending amount until such time it has been remitted.

PAYMENTS TO EMPLOYEE ON SEPARATION

- **Performance linked variable salary:** A employee parting ways from PVPL will not be entitled to receive PLVS for the latest year (full/Pro-rata) after resignation.
- **PL Encashment**: Unused PL balance will be paid within 30 days after final settlement. The amount will be paid directly by LIC of India. PL encashment is subject to Tax deduction.

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- **Gratuity**: Gratuity amount, wherever applicable (based on Payment of Gratuity Act), will be paid within 30 days after final settlement. The amount will be paid directly by LIC of India.
- **Leave Travel Allowance**: Un-utilised and pro-rata Leave Travel Allowance for the no. of months worked shall be paid along with full and final settlement. No claims shall be settled after the date of employee release.

RECOVERIES FROM EMPLOYEE ON SEPARATION

Deductions from an employee's Full & Final shall be as per the terms of appointment letter and applicable laws

- **Joining Expense Recovery:** Any joining expenses such as recruitment consultant cost, pre–employment medical check–up, relocation cost (Self & family), notice pay buy out/Joining Bonus, Expenses towards the relocation of his/ her family (self, spouse, and children), shifting of household expenses or any other cost incurred by the company during the hiring & employment of the employee will be recovered from the final settlement, should the employee resign within 24 months from the date of joining.
- **Transfer expense recovery:** Any & all transfer related expenses/advances shall be recovered as per the Policy of transfer & shifting expenses.
- **Recoveries as per Letter of Appointment:** Certain recoveries may also be applicable based on terms of Appointment.

AMENDMENT RIGHTS

The Company has the sole discretion to alter, withdraw or amend this policy or its parts at any time without prior notice or procedure.

For any matter related to the BGV guidelines, the decision of the Company will be final and binding.

This policy comes into immediate effect and supersedes previous versions.

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DISCRETION

- The policy outlined in this document is subject to change from time to time as per business needs and operational exigencies.
- This policy may be added to, deleted, or changed at the sole discretion of the company and without any prior intimation to the employees.
- In case doubts arise about the interpretation of this policy, reach out to your HR Business partner. The interpretation and decision of the company shall be final and binding on all employees as regards this policy.
- Compliance: a failure to adhere to this policy is a disciplinary issue and shall be dealt with in line with Piaggio's code of business conduct & ethics.
- It is the employee's responsibility to keep themselves abreast with the changes in the policy.
- Action decided by the company shall be final and may supersede all possible options outlined in the policy. An employee will not have right to negotiate. The decision of company should be accepted in "as-is" state.

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